science and technology, culture and education. MoUs were signed for Housing Project, on cooperation in the field of Agriculture, and also a MoU between Telecom Regulatory Authority of India and Telecommunication Regulatory Commission. President of Sri Lanka visited India during 19-22 September 2012. However, on 19 October 2012, the Cabinet took a tough decision to silently send a message to Sri Lanka that India would not keep mum and watch China expand its influence in Sri Lanka, especially after the Sri Lankan Government awarded the Colombo Port expansion project to China, whereas a major source of income of Colombo Port come from trans-shipment cargo coming from Indian ports. The cabinet took a decision to relax India's policy on granting the right to operate in its waters ("cabotage policy") as per the Merchant Shipping Act of 1958 for trans-shipment of export-import (EXIM) containers to and from the International Trans-shipment Terminal (ICTT) at Vallarpadam, Cochin. The outcome of this relaxation is to attract trans-shipment of Indian cargo from ICTT, Vallarpadam and reduce dependence on nearby foreign ports (read Sri Lanka).

Sri Lanka, like the other neighbours of India, suffers from the fear of 'big brother' India. This threat perception, not only is difficult to overcome but also both cannot avoid the pangs of proximity which affects their bilateral relation. Sri Lanka has tried to assert its independent stance many a times. It has been vocal for establishing a nuclear free zone in South Asia and played ambivalent role during the Indo-China war of 1962, Indo-Pak war of 1971 and even Indian Peaceful Nuclear explosion of 1974. Yet currently, Sri Lanka supports India's bid for permanent membership in the Security Council. **C**ertain issues still persist and stir tensions at times or have the potential of causing bitterness between the two in future. The first of it is the Kachhativu island, where Sri Lanka wanted to establish a military base which was ceded by India as per the 1974 agreement. The rights of Sri Lanka were established by the 1974, and 1976 Treaty. However, some disturbing incidents do occur between the Sri Lankan naval patrols and the India fishermen. Further, the 18th Amendment to the 1978 Constitution has lifted the two term limit on the post of the President. India has to be cautious because a longer reign of a pro-Chinese President would be quite alarming for India.